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power to millions of Americans, “[m]ay sue and be sued in its corporate name.” Tennessee Valley Authority Act of 1933 (TVA Act), 48 Stat. 60, 16 U. S. C. § 831c(b). That provision serves to waive sovereign immunity from suit. Today, we consider how far the waiver goes. We reject the view, adopted below and pressed by the Government, that the TVA remains immune from all tort suits arising from its performance of so-called discretionary functions. The TVA’s sue-and-be-sued clause is broad and contains no such limit. Under the clause—and consistent with our precedents construing similar ones—the TVA is subject to suits challenging any of its commercial activities. The law thus places the TVA in the same position as a private corporation supplying electricity. But the TVA might have immunity from suits contesting one of its governmental activities, of a kind not typically carried out by private parties. We remand this case for consideration of whether that limited immunity could apply here.

I

Congress created the TVA—a “wholly owned public corporation of the United States”—in the throes of the Great Depression to promote the Tennessee Valley’s economic development. *TVA v. Hill*, 437 U. S. 153, 157 (1978). In its early decades, the TVA focused on reforesting the countryside, improving farmers’ fertilization practices, and building dams on the Tennessee River. See Brief for Respondent 3. The corporation also soon began constructing new power plants for the region. And over the years, as it completed other projects, the TVA devoted more and more of its efforts to producing and selling electric power. Today, the TVA operates around 60 power plants and provides electricity to more than nine million people in seven States. See *id.*, at 3–4. The rates it charges (along with the bonds it issues) bring in over \$10 billion in annual revenues, making federal appropriations unnecessary. See *ibid.*; GAO, FY 2018 Financial Report of the United States Government 53 (GAO–19–294R, 2019).

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As even that short description may suggest, the TVA is something of a hybrid, combining traditionally governmental functions with typically commercial ones. On the one hand, the TVA possesses powers and responsibilities reserved to sovereign actors. It may, for example, “exercise the right of eminent domain” and “condemn all property” necessary to carry out its goals. 16 U. S. C. §§ 831c(h), (i). Similarly, it may appoint employees as “law enforcement agents” with powers to investigate crimes and make arrests. § 831c–3(a); see § 831c–3(b)(2). But on the other hand, much of what the TVA does could be done—no, *is* done routinely—by non-governmental parties. Just as the TVA produces and sells electricity in its region, privately owned power companies (*e. g.*, Con Edison, Dominion Energy) do so in theirs. As to those commonplace commercial functions, the emphasis in the oft-used label “public corporation” rests heavily on the latter word. *Hill*, 437 U. S., at 157.

In establishing this mixed entity, Congress decided (as it had for similar government businesses) that the TVA could “sue and be sued in its corporate name.” § 831c(b); see, *e. g.*, Reconstruction Finance Corporation Act, § 4, 47 Stat. 6; Federal Home Loan Bank Act, § 12, 47 Stat. 735. Without such a clause, the TVA (as an entity of the Federal Government) would have enjoyed sovereign immunity from suit. See *Loeffler v. Frank*, 486 U. S. 549, 554 (1988). By instead providing that the TVA could “be sued,” Congress waived at least some of the corporation’s immunity. (Just how much is the question here.) Slightly more than a decade after creating the TVA, Congress enacted the Federal Tort Claims Act of 1946 (FTCA), 28 U. S. C. §§ 1346(b), 2671 *et seq.*, to waive immunity from tort suits involving agencies across the Government. See § 1346(b)(1) (waiving immunity from damages claims based on “the negligent or wrongful act or omission of any employee of the Government”). That statute carved out an exception for claims based on a federal employee’s performance of a “discretionary function.” § 2680(a). But Congress specifically excluded from all the

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FTCA's provisions—including the discretionary function exception—“[a]ny claim arising from the activities of the [TVA].” § 2680(l).

This case involves such a claim. See App. 22–33 (Complaint). One summer day, TVA employees embarked on work to replace a power line over the Tennessee River. When a cable they were using failed, the power line fell into the water. The TVA informed the Coast Guard, which announced that it was closing part of the river; and the TVA itself positioned two patrol boats near the downed line. But several hours later, just as the TVA workers began to raise the line, petitioner Gary Thacker drove his boat into the area at high speed. The boat and line collided, seriously injuring Thacker and killing a passenger. Thacker sued for negligence, alleging that the TVA had failed to “exercise reasonable care” in “assembl[ing] and install[ing] power lines” and in “warning boaters” like him “of the hazards it created.” *Id.*, at 31.

The TVA moved to dismiss the suit, claiming sovereign immunity. The District Court granted the motion. It reasoned that the TVA, no less than other government agencies, is entitled to immunity from any suit based on an employee's exercise of discretionary functions. See 188 F. Supp. 3d 1243, 1245 (ND Ala. 2016). And it thought that the TVA's actions surrounding the boating accident were discretionary because “they involve[d] some judgment and choice.” *Ibid.* The Court of Appeals for the Eleventh Circuit affirmed on the same ground. According to the circuit court, the TVA has immunity for discretionary functions even when they are part of the “TVA's commercial, power-generating activities.” 868 F. 3d 979, 981 (2017) (*per curiam*). In deciding whether a suit implicates those functions, the court explained that it “use[s] the same test that applies when the government invokes the discretionary-function exception to the [FTCA].” *Id.*, at 982. And that test, the court agreed,

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foreclosed Thacker’s suit because the challenged actions were “a matter of choice.” *Ibid.* (internal quotation marks omitted).

We granted certiorari to decide whether the waiver of sovereign immunity in TVA’s sue-and-be-sued clause is subject to a discretionary function exception, of the kind in the FTCA. 585 U. S. 1057 (2018). We hold it is not.

II

Nothing in the statute establishing the TVA (again, the TVA Act for short) expressly recognizes immunity for discretionary functions. As noted above, that law provides simply that the TVA “[m]ay sue and be sued.” 16 U. S. C. § 831c(b); see *supra*, at 221. Such a sue-and-be-sued clause serves to waive sovereign immunity otherwise belonging to an agency of the Federal Government. See *Loeffler*, 486 U. S., at 554. By the TVA Act’s terms, that waiver is subject to “[e]xcept[ions]” as “specifically provided in” the statute itself. § 831c. But the TVA Act contains no exceptions relevant to tort claims, let alone one turning on whether the challenged conduct is discretionary.

Nor does the FTCA’s exception for discretionary functions apply to the TVA. As described earlier, see *supra*, at 221, the FTCA retained the Federal Government’s immunity from tort suits challenging discretionary conduct, even while allowing other tort claims to go forward. See 28 U. S. C. §§ 1346(b), 2680(a); *United States v. Gaubert*, 499 U. S. 315, 322–325 (1991) (describing the discretionary function exception’s scope). But Congress made clear that the FTCA does “not apply to[] [a]ny claim arising from the activities of the [TVA].” § 2680(l). That means the FTCA’s discretionary function provision has no relevance to this case. Even the Government concedes as much. It acknowledges that the FTCA’s discretionary function exception “does not govern [Thacker’s] suit.” Brief for Respondent 15. Rather, it

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says, the TVA Act's sue-and-be-sued clause does so. See *id.*, at 6. And that is the very clause we have just described as containing no express exception for discretionary functions.

But that is not quite the end of the story because in *Federal Housing Administration v. Burr*, 309 U. S. 242 (1940), this Court recognized that a sue-and-be-sued clause might contain "implied exceptions." *Id.*, at 245. The Court in that case permitted a suit to proceed against a government entity (providing mortgage insurance) whose organic statute had a sue-and-be-sued clause much like the TVA Act's. And the Court made clear that in green-lighting the suit, it was doing what courts normally should. Sue-and-be-sued clauses, the Court explained, "should be liberally construed." *Ibid.*; see *FDIC v. Meyer*, 510 U. S. 471, 475 (1994) (similarly calling such clauses "broad"). Those words "in their usual and ordinary sense," the Court noted, "embrace all civil process incident to the commencement or continuance of legal proceedings." *Burr*, 309 U. S., at 245–246. And Congress generally "intend[s] the full consequences of what it sa[ys]"—even if "inconvenient, costly, and inefficient." *Id.*, at 249 (quotation modified). But not quite always, the Court continued. And when not—when Congress meant to use the words "sue and be sued" in a more "narrow sense"—a court should recognize "an implied restriction." *Id.*, at 245. In particular, *Burr* stated, a court should take that route if one of the following circumstances is "clearly shown": either the "type[] of suit[]" at issue is "not consistent with the statutory or constitutional scheme" or the restriction is "necessary to avoid grave interference with the performance of a governmental function." *Ibid.*

Although the courts below never considered *Burr*, the Government tries to use its framework to defend their decisions. See Brief for Respondent 17–40. According to the Government, we should establish a limit on the TVA's sue-and-be-sued clause—like the one in the FTCA—for all suits challenging discretionary functions. That is for two reasons, tracking *Burr*'s statement of when to recognize an

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“implied exception[]” to a sue-and-be-sued clause. 309 U. S., at 245. First, the Government argues that allowing those suits would conflict with the “constitutional scheme”—more precisely, with “separation-of-powers principles”—by subjecting the TVA’s discretionary conduct to “judicial second-guessing.” Brief for Respondent 19, 21 (internal quotation marks omitted). Second, the Government maintains that permitting those suits would necessarily “interfere[] with important governmental functions.” *Id.*, at 36; see *id.*, at 39–40; Tr. of Oral Arg. 39–41. We disagree.

At the outset, we balk at using *Burr* to provide a government entity excluded from the FTCA with a replica of that statute’s discretionary function exception. Congress made a considered decision *not* to apply the FTCA to the TVA (even as Congress applied that legislation to some other public corporations, see 28 U. S. C. § 2679(a)). See *supra*, at 221–222. The Government effectively asks us to negate that legislative choice. Or otherwise put, it asks us to let the FTCA in through the back door, when Congress has locked the front one. We have once before rejected such a maneuver. In *FDIC v. Meyer*, a plaintiff brought a constitutional tort claim against a government agency with another broad sue-and-be-sued clause. The agency claimed immunity, stressing that the claim would have fallen outside the FTCA’s immunity waiver (which extends only to conventional torts). We dismissed the argument. “In essence,” we observed, the “FDIC asks us to engraft” a part of the FTCA “onto [the agency’s] sue-and-be-sued clause.” 510 U. S., at 480. But that would mean doing what Congress had not. See *id.*, at 483. And so too here, if we were to bestow the FTCA’s discretionary function exception on the TVA through the conduit of *Burr*. Indeed, the Government’s proposal would make the TVA’s tort liability largely coextensive with that of all the agencies the FTCA governs. See Tr. of Oral Arg. 33–34. Far from acting to achieve such parity, Congress did everything possible to avoid it.

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In any event, the Government is wrong to think that waiving the TVA's immunity from suits based on discretionary functions would offend the separation of powers. As this Court explained in *Burr*, the scope of immunity that federal corporations enjoy is up to Congress. That body "has full power to endow [such an entity] with the government's immunity from suit." 309 U. S., at 244. And equally, it has full power to "waive [that] immunity" and "subject [the entity] to the judicial process" to whatever extent it wishes. *Ibid.* When Congress takes the latter route—even when it goes so far as to waive the corporation's immunity for discretionary functions—its action raises no separation of powers problems. The right governmental actor (Congress) is making a decision within its bailiwick (to waive immunity) that authorizes an appropriate body (a court) to render a legal judgment. Indeed, the Government itself conceded at oral argument that Congress, when creating a public corporation, may constitutionally waive its "immunity [for] discretionary functions." Tr. of Oral Arg. 37. But once that is acknowledged, the Government's argument from "separation-of-powers principles" collapses. Brief for Respondent 19. Those principles can offer no reason to limit a statutory waiver that even without any emendation complies with the constitutional scheme.

Finally, the Government overreaches when it says that all suits based on the TVA's discretionary conduct will "grave[ly] interfere[]" with "governmental function[s]." *Burr*, 309 U. S., at 245. That is so, at the least, because the discretionary acts of hybrid entities like the TVA may be not governmental but commercial in nature. And a suit challenging a commercial act will not "grave[ly]"—or, indeed, at all—interfere with the "governmental functions" *Burr* cared about protecting. The Government contests that point, arguing that this Court has not meant to distinguish between the governmental and the commercial in construing sue-and-be-sued clauses. See Brief for Respondent 39–40. But

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both *Burr* and later decisions do so explicitly. *Burr* took as its “premise” that an agency “launched [with such a clause] into the commercial world” and “authorize[d] to engage” in “business transactions with the public” should have the same “amenab[ility] to judicial process [as] a private enterprise under like circumstances.” 309 U. S., at 245. *Meyer* also made clear that such an agency “could not escape the liability a private enterprise would face in similar circumstances.” 510 U. S., at 482; see *ibid.* (“[T]he liability of a private enterprise [is] a *floor* below which the agency’s liability [may] not fall”). And twice the Court held that the liability of the Postal Service (another sue-and-be-sued agency) should be “similar[] to [that of] other self-sustaining commercial ventures.” *Franchise Tax Bd. of Cal. v. Postal Service*, 467 U. S. 512, 525 (1984); see *Loeffler*, 486 U. S., at 556. The point of those decisions, contra the Government, is that (barring special constitutional or statutory issues not present here) suits based on a public corporation’s *commercial* activity may proceed as they would against a private company; only suits challenging the entity’s *governmental* activity may run into an implied limit on its sue-and-be-sued clause.

Burr and its progeny thus require a far more refined analysis than the Government offers here. The reasons those decisions give to recognize a restriction on a sue-and-be-sued clause do not justify the wholesale incorporation of the discretionary function exception. As explained above, the “constitutional scheme” has nothing to say about lawsuits challenging a public corporation’s discretionary activity—except to leave their fate to Congress. *Burr*, 309 U. S., at 245; see *supra*, at 226. For its part, Congress has not said in enacting sue-and-be-sued clauses that it wants to prohibit all such suits—quite the contrary. And no concern for “governmental functions” can immunize discretionary activities that are commercial in kind. *Burr*, 309 U. S., at 245; see *supra*, at 226. When the TVA or similar body operates in the marketplace as private companies do, it is as liable as they are

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for choices and judgments. The possibility of immunity arises only when a suit challenges governmental activities—the kinds of functions private parties typically do not perform. And even then, an entity with a sue-and-be-sued clause may receive immunity only if it is “clearly shown” that prohibiting the “type[] of suit[]” at issue “is necessary to avoid grave interference” with a governmental function’s performance. *Burr*, 309 U.S., at 245. That is a high bar. But it is no higher than appropriate given Congress’s enactment of so broad an immunity waiver—which demands, as we have held, a “liberal construction.” *Ibid.* (quotation modified).

III

All that remains is to decide this case in accord with what we have said so far. But as we often note at this point, “we are a court of review, not of first view.” *Cutter v. Wilkinson*, 544 U.S. 709, 718, n. 7 (2005). In wrongly relying on the discretionary function exception, the courts below never addressed the issues we have found relevant in deciding whether this suit may go forward. Those courts should have the first chance to do so, as guided by the principles set out above and a few last remarks about applying them here.

As described earlier, the TVA sometimes resembles a government actor, sometimes a commercial one. See *supra*, at 221. Consider a few diverse examples. When the TVA exercises the power of eminent domain, taking landowners’ property for public purposes, no one would confuse it for a private company. So too when the TVA exercises its law enforcement powers to arrest individuals. But in other operations—and over the years, a growing number—the TVA acts like any other company producing and supplying electric power. It is an accident of history, not a difference in function, that explains why most Tennesseans get their electricity from a public enterprise and most Virginians get theirs from a private one. Whatever their ownership struc-

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tures, the two companies do basically the same things to deliver power to customers.

So to determine if the TVA has immunity here, the court on remand must first decide whether the conduct alleged to be negligent is governmental or commercial in nature. For the reasons given above, if the conduct is commercial—the kind of thing any power company might do—the TVA cannot invoke sovereign immunity. In that event, the TVA’s sue-and-be-sued clause renders it liable to the same extent as a private party. Only if the conduct at issue is governmental might the court decide that an implied limit on the clause bars the suit. But even assuming governmental activity, the court must find that prohibiting the “type[] of suit[]” at issue “is necessary to avoid grave interference” with that function’s performance. *Burr*, 309 U. S., at 245. Unless it is, Congress’s express statement that the TVA may “be sued” continues to demand that this suit go forward.

We accordingly reverse the judgment of the Court of Appeals and remand the case for further proceedings consistent with this opinion.

It is so ordered.

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FRANCHISE TAX BOARD OF CALIFORNIA *v.* HYATT

CERTIORARI TO THE SUPREME COURT OF NEVADA

No. 17–1299. Argued January 9, 2019—Decided May 13, 2019

Respondent Hyatt sued petitioner Franchise Tax Board of California (Board) in Nevada state court for alleged torts committed during a tax audit. The Nevada Supreme Court rejected the Board’s argument that the Full Faith and Credit Clause required Nevada courts to apply California law and immunize the Board from liability. The court held instead that general principles of comity entitled the Board only to the same immunity that Nevada law afforded Nevada agencies. This Court affirmed, holding that the Full Faith and Credit Clause did not prohibit Nevada from applying its own immunity law. On remand, the Nevada Supreme Court declined to apply a cap on tort liability applicable to Nevada state agencies. This Court reversed, holding that the Full Faith and Credit Clause required Nevada courts to grant the Board the same immunity that Nevada agencies enjoy. The Court was equally divided, however, on whether to overrule *Nevada v. Hall*, 440 U. S. 410, which held that the Constitution does not bar suits brought by an individual against a State in the courts of another State. On remand, the Nevada Supreme Court instructed the trial court to enter damages in accordance with Nevada’s statutory cap. The Board sought certiorari a third time, raising only the question whether *Nevada v. Hall* should be overruled.

Held: *Nevada v. Hall* is overruled; States retain their sovereign immunity from private suits brought in courts of other States. Pp. 236–249.

(a) The *Hall* majority held that nothing “implicit in the Constitution” requires States to adhere to the sovereign immunity that prevailed at the time of the founding. 440 U. S., at 417–418, 424–427. The Court concluded that the Founders assumed that “prevailing notions of comity would provide adequate protection against the unlikely prospect of an attempt by the courts of one State to assert jurisdiction over another.” *Id.*, at 419. The Court’s view rested primarily on the idea that the States maintained sovereign immunity vis-à-vis each other in the same way that foreign nations do. Pp. 236–237.

(b) *Hall*’s determination misreads the historical record and misapprehends the constitutional design created by the Framers. Although the Constitution assumes that the States retain their sovereign immunity except as otherwise provided, it also fundamentally adjusts the States’ relationship with each other and curtails the States’ ability, as sover-

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eigns, to decline to recognize each other's immunity in their own courts. Pp. 237–248.

(1) At the time of the founding, it was well settled that States were immune from suit both under the common law and under the law of nations. The States retained these aspects of sovereignty, “except as altered by the plan of the Convention or certain constitutional Amendments.” *Alden v. Maine*, 527 U. S. 706, 713. Pp. 237–241.

(2) Article III abrogated certain aspects of the States’ traditional immunity by providing a neutral federal forum in which the States agreed to be amenable to suits brought by other States. And in ratifying the Constitution, the States similarly surrendered a portion of their immunity by consenting to suits brought against them by the United States in federal courts. When this Court held in *Chisholm v. Georgia*, 2 Dall. 419, that Article III extended the federal judicial power over controversies between a State and citizens of another State, Congress and the States acted swiftly to draft and ratify the Eleventh Amendment, which confirms that the Constitution was not meant to “rais[e] up” any suits against the States that were “anomalous and unheard of when the Constitution was adopted,” *Hans v. Louisiana*, 134 U. S. 1, 18. The “natural inference” from the Amendment’s speedy adoption is that “the Constitution was understood, in light of its history and structure, to preserve the States’ traditional immunity from private suits.” *Alden*, *supra*, at 723–724. This view of the States’ sovereign immunity accorded with the understanding of the Constitution by its leading advocates, including Hamilton, Madison, and Marshall, when it was ratified. Pp. 241–244.

(3) State sovereign immunity in another State’s courts is integral to the structure of the Constitution. The problem with Hyatt’s argument—that interstate sovereign immunity exists only as a matter of comity and can be disregarded by the forum State—is that the Constitution affirmatively altered the relationships between the States so that they no longer relate to each other as true foreign sovereigns. Numerous provisions reflect this reality. Article I divests the States of the traditional diplomatic and military tools that foreign sovereigns possess. And Article IV imposes duties on the States not required by international law. The Constitution also reflects alterations to the States’ relationships with each other, confirming that they are no longer fully independent nations free to disregard each other’s sovereignty. See *New Hampshire v. Louisiana*, 108 U. S. 76, 90. Hyatt’s argument is precisely the type of “ahistorical literalism” this Court has rejected when “interpreting the scope of the States’ sovereign immunity since the discredited decision in *Chisholm*.” *Alden*, *supra*, at 730. Moreover, his argument proves too much. Many constitutional doctrines not spelled

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out in the Constitution are nevertheless implicit in its structure and supported by historical practice, *e. g.*, judicial review, *Marbury v. Madison*, 1 Cranch 137, 176–180. Pp. 244–248.

(c) *Stare decisis* is “not an inexorable command,” *Pearson v. Callahan*, 555 U.S. 223, 233, and is “at its weakest” when interpreting the Constitution, *Agostini v. Felton*, 521 U.S. 203, 235. The Court’s precedents identify, as relevant here, four factors to consider: the quality of the decision’s reasoning, its consistency with related decisions, legal developments since the decision, and reliance on the decision. See *Janus v. State, County, and Municipal Employees*, 585 U.S. 878, 918–919. The first three factors support overruling *Hall*. As to the fourth, case-specific reliance interests are not sufficient to persuade this Court to adhere to an incorrect resolution of an important constitutional question. Pp. 248–249.

133 Nev. 826, 407 P. 3d 717, reversed and remanded.

THOMAS, J., delivered the opinion of the Court, in which ROBERTS, C. J., and ALITO, GORSUCH, and KAVANAUGH, JJ., joined. BREYER, J., filed a dissenting opinion, in which GINSBURG, SOTOMAYOR, and KAGAN, JJ., joined, *post*, p. 249.

Seth P. Waxman argued the cause for petitioner. With him on the briefs were *Paul R. Q. Wolfson*, *Daniel Winik*, *Joshua M. Koppel*, *James Barton*, *William C. Hilson, Jr.*, *Scott W. DePeel*, *Ann Hodges*, *James W. Bradshaw*, *Pat Lundvall*, and *Debbie Leonard*.

Erwin Chemerinsky argued the cause for respondent. With him on the brief were *Donald J. Kula*, *Joel W. Nomkin*, *Mark D. Rosenbaum*, *Alisa Hartz*, and *Paul Hoffman*.*

*Briefs of *amici curiae* urging reversal were filed for the State of Indiana et al. by *Curtis T. Hill, Jr.*, Attorney General of Indiana, *Thomas M. Fisher*, Solicitor General, and *Kian Hudson* and *Julia C. Payne*, Deputy Attorneys General, and by the Attorneys General of their respective States as follows: *Steve Marshall* of Alabama, *Jahna Lindemuth* of Alaska, *Mark Brnovich* of Arizona, *Leslie Rutledge* of Arkansas, *Cynthia H. Coffman* of Colorado, *George Jepsen* of Connecticut, *Matthew P. Denn* of Delaware, *Pamela Jo Bondi* of Florida, *Christopher M. Carr* of Georgia, *Russell A. Suzuki* of Hawaii, *Lawrence G. Wasden* of Idaho, *Tom Miller* of Iowa, *Derek Schmidt* of Kansas, *Andy Beshear* of Kentucky, *Jeff Landry* of Louisiana, *Janet T. Mills* of Maine, *Brian Frosh* of Maryland, *Maura Healey* of Massachusetts, *Bill Schuette* of Michigan, *Lori Swanson* of Minnesota,

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JUSTICE THOMAS delivered the opinion of the Court.

This case, now before us for the third time, requires us to decide whether the Constitution permits a State to be sued by a private party without its consent in the courts of a different State. We hold that it does not and overrule our decision to the contrary in *Nevada v. Hall*, 440 U. S. 410 (1979).

I

In the early 1990s, respondent Gilbert Hyatt earned substantial income from a technology patent for a computer formed on a single integrated circuit chip. Although Hyatt's claim was later canceled, see *Hyatt v. Boone*, 146 F. 3d 1348 (CA Fed. 1998), his royalties in the interim totaled millions of dollars. Prior to receiving the patent, Hyatt had been a long-time resident of California. But in 1991, Hyatt sold his house in California and rented an apartment, registered to vote, obtained insurance, opened a bank account, and acquired a driver's license in Nevada. When he filed his 1991 and 1992 tax returns, he claimed Nevada—which collects no personal income tax, see Nev. Const., Art. 10, § 1(9)—as his primary place of residence.

Jim Hood of Mississippi, *Tim Fox* of Montana, *Doug Peterson* of Nebraska, *Adam Laxalt* of Nevada, *Gurbir S. Grewal* of New Jersey, *Joshua H. Stein* of North Carolina, *Wayne Stenehjem* of North Dakota, *Michael DeWine* of Ohio, *Mike Hunter* of Oklahoma, *Ellen F. Rosenblum* of Oregon, *Josh Shapiro* of Pennsylvania, *Peter F. Kilmartin* of Rhode Island, *Alan Wilson* of South Carolina, *Marty J. Jackley* of South Dakota, *Herbert H. Slatery III* of Tennessee, *Ken Paxton* of Texas, *Sean D. Reyes* of Utah, *Thomas J. Donovan, Jr.*, of Vermont, *Mark Herring* of Virginia, *Robert W. Ferguson* of Washington, *Patrick Morrissey* of West Virginia, *Brad D. Schimel* of Wisconsin, and *Peter K. Michael* of Wyoming; for Law Professors by *Benjamin L. Hatch*; and for the Multistate Tax Commission et al. by *Gregory S. Matson*, *Helen Hecht*, and *David Parkhurst*.

Stephen I. Vladeck, *pro se*, and *Lindsay C. Harrison* filed a brief for Professors of Federal Jurisdiction as *amici curiae* urging affirmance.

Briefs of *amici curiae* were filed for Alan B. Morrison et al. by *Mr. Morrison*, *pro se*; for James C. Giudici by *Mr. Giudici*, *pro se*; and for William Baude et al. by *Stephen E. Sachs*.

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Petitioner Franchise Tax Board of California (Board), the state agency responsible for assessing personal income tax, suspected that Hyatt's move was a sham. Thus, in 1993, the Board launched an audit to determine whether Hyatt underpaid his 1991 and 1992 state income taxes by misrepresenting his residency. In the course of the audit, employees of the Board traveled to Nevada to conduct interviews with Hyatt's estranged family members and shared his personal information with business contacts. In total, the Board sent more than 100 letters and demands for information to third parties. The Board ultimately concluded that Hyatt had not moved to Nevada until April 1992 and owed California more than \$10 million in back taxes, interest, and penalties. Hyatt protested the audit before the Board, which upheld the audit after an 11-year administrative proceeding. The appeal of that decision remains pending before the California Office of Tax Appeals.

In 1998, Hyatt sued the Board in Nevada state court for torts he alleged the agency committed during the audit. After the trial court denied in part the Board's motion for summary judgment, the Board petitioned the Nevada Supreme Court for a writ of mandamus ordering dismissal on the ground that the State of California was immune from suit. The Board argued that, under the Full Faith and Credit Clause, Nevada courts must apply California's statute immunizing the Board from liability for all injuries caused by its tax collection. See U.S. Const., Art. IV, § 1; Cal. Govt. Code Ann. § 860.2 (West 1995). The Nevada Supreme Court rejected that argument and held that, under general principles of comity, the Board was entitled to the same immunity that Nevada law afforded Nevada agencies—that is, immunity for negligent but not intentional torts. We granted certiorari and unanimously affirmed, holding that the Full Faith and Credit Clause did not prohibit Nevada from applying its own immunity law to the case. *Franchise Tax Bd. of Cal. v. Hyatt*, 538 U.S. 488, 498–499 (2003)

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(*Hyatt I*). Because the Board did not ask us to overrule *Nevada v. Hall*, *supra*, we did not revisit that decision. *Hyatt I*, *supra*, at 497.

On remand, the trial court conducted a 4-month jury trial that culminated in a verdict for Hyatt that, with prejudgment interest and costs, exceeded \$490 million. On appeal, the Nevada Supreme Court rejected most of the damages awarded by the lower court, upholding only a \$1 million judgment on one of Hyatt's claims and remanding for a new damages trial on another. Although the court recognized that tort liability for Nevada state agencies was capped at \$50,000 under state law, it nonetheless held that Nevada public policy precluded it from applying that limitation to the California agency in this case. We again granted certiorari and this time reversed, holding that the Full Faith and Credit Clause required Nevada courts to grant the Board the same immunity that Nevada agencies enjoy. *Franchise Tax Bd. of Cal. v. Hyatt*, 578 U. S. 171, 176–180 (2016) (*Hyatt II*). Although the question was briefed and argued, the Court was equally divided on whether to overrule *Hall* and thus affirmed the jurisdiction of the Nevada Supreme Court. *Hyatt II*, *supra*, at 173. On remand, the Nevada Supreme Court instructed the trial court to enter damages in accordance with the statutory cap for Nevada agencies. 133 Nev. 826, 407 P. 3d 717 (2017).

We granted, for a third time, the Board's petition for certiorari, 585 U. S. 1029 (2018). The sole question presented is whether *Nevada v. Hall* should be overruled.¹

¹ Hyatt argues that the law-of-the-case doctrine precludes our review of this question, but he failed to raise that nonjurisdictional issue in his brief in opposition. We therefore deem this argument waived. See this Court's Rule 15.2; *Arizona v. California*, 460 U. S. 605, 618 (1983) ("Law of the case directs a court's discretion, it does not limit the tribunal's power"). We also reject Hyatt's argument that the Board waived its immunity. The Board has raised an immunity-based argument from this suit's inception, though it was initially based on the Full Faith and Credit Clause.

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II

Nevada v. Hall is contrary to our constitutional design and the understanding of sovereign immunity shared by the States that ratified the Constitution. *Stare decisis* does not compel continued adherence to this erroneous precedent. We therefore overrule *Hall* and hold that States retain their sovereign immunity from private suits brought in the courts of other States.

A

Hall held that the Constitution does not bar private suits against a State in the courts of another State. 440 U. S., at 416–421. The opinion conceded that States were immune from such actions at the time of the founding, but it nonetheless concluded that nothing “implicit in the Constitution” requires States “to adhere to the sovereign-immunity doctrine as it prevailed when the Constitution was adopted.” *Id.*, at 417–418, 424–427. Instead, the Court concluded that the Founders assumed that “prevailing notions of comity would provide adequate protection against the unlikely prospect of an attempt by the courts of one State to assert jurisdiction over another.” *Id.*, at 419. The Court’s view rested primarily on the idea that the States maintained sovereign immunity vis-à-vis each other in the same way that foreign nations do, meaning that immunity is available only if the forum State “voluntar[ily]” decides “to respect the dignity of the [defendant State] as a matter of comity.” *Id.*, at 416; see also *id.*, at 424–427.

The *Hall* majority was unpersuaded that the Constitution implicitly altered the relationship between the States. In the Court’s view, the ratification debates, the Eleventh Amendment, and our sovereign-immunity precedents did not bear on the question because they “concerned questions of federal-court jurisdiction.” *Id.*, at 420. The Court also found unpersuasive the fact that the Constitution delineates several limitations on States’ authority, such as Article I

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powers granted exclusively to Congress and Article IV requirements imposed on States. *Id.*, at 425. Despite acknowledging “that ours is not a union of 50 wholly independent sovereigns,” *Hall* inferred from the lack of an express sovereign immunity granted to the States and from the Tenth Amendment that the States retained the power in their own courts to deny immunity to other States. *Ibid.*

Chief Justice Burger, Justice Blackmun, and Justice Rehnquist dissented.

B

Hall’s determination that the Constitution does not contemplate sovereign immunity for each State in a sister State’s courts misreads the historical record and misapprehends the “implicit ordering of relationships within the federal system necessary to make the Constitution a workable governing charter and to give each provision within that document the full effect intended by the Framers.” *Id.*, at 433 (Rehnquist, J., dissenting). As Chief Justice Marshall explained, the Founders did not state every postulate on which they formed our Republic—“we must never forget, that it is *a constitution* we are expounding.” *McCulloch v. Maryland*, 4 Wheat. 316, 407 (1819). And although the Constitution assumes that the States retain their sovereign immunity except as otherwise provided, it also fundamentally adjusts the States’ relationship with each other and curtails their ability, as sovereigns, to decline to recognize each other’s immunity.

1

After independence, the States considered themselves fully sovereign nations. As the Colonies proclaimed in 1776, they were “Free and Independent States” with “full Power to levy War, conclude Peace, contract Alliances, establish Commerce, and to do all other Acts and Things which Independent States may of right do.” Declaration of Independence ¶4. Under international law, then, independence “en-

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titled” the Colonies “to all the rights and powers of sovereign states.” *McIlvaine v. Coxe’s Lessee*, 4 Cranch 209, 212 (1808).

“An integral component” of the States’ sovereignty was “their immunity from private suits.” *Federal Maritime Comm’n v. South Carolina Ports Authority*, 535 U.S. 743, 751–752 (2002); see *Alden v. Maine*, 527 U.S. 706, 713 (1999) (“[A]s the Constitution’s structure, its history, and the authoritative interpretations by this Court make clear, the States’ immunity from suit is a fundamental aspect of the sovereignty which the States enjoyed before the ratification of the Constitution, and which they retain today . . .”). This fundamental aspect of the States’ “inviolable sovereignty” was well established and widely accepted at the founding. The Federalist No. 39, p. 245 (C. Rossiter ed. 1961) (J. Madison); see *Alden*, *supra*, at 715–716 (“[T]he doctrine that a sovereign could not be sued without its consent was universal in the States when the Constitution was drafted and ratified”). As Alexander Hamilton explained:

“It is inherent in the nature of sovereignty not to be amenable to the suit of an individual without its consent. This is the general sense and the general practice of mankind; and the exemption, as one of the attributes of sovereignty, is now enjoyed by the government of every State in the Union.” The Federalist No. 81, at 487 (emphasis deleted).

The Founders believed that both “common law sovereign immunity” and “law-of-nations sovereign immunity” prevented States from being amenable to process in any court without their consent. See Pfander, Rethinking the Supreme Court’s Original Jurisdiction in State-Party Cases, 82 Cal. L. Rev. 555, 581–588 (1994); see also Nelson, Sovereign Immunity as a Doctrine of Personal Jurisdiction, 115 Harv. L. Rev. 1559, 1574–1579 (2002). The common-law rule was that “no suit or action can be brought against the king, even

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in civil matters, because no court can have jurisdiction over him.” 1 W. Blackstone, *Commentaries on the Laws of England* 235 (1765) (Blackstone). The law-of-nations rule followed from the “perfect equality and absolute independence of sovereigns” under that body of international law. *Schooner Exchange v. McFaddon*, 7 Cranch 116, 137 (1812); see C. Phillipson, *Wheaton’s Elements of International Law* 261 (5th ed. 1916) (recognizing that sovereigns “enjoy equality before international law”); 1 J. Kent, *Commentaries on American Law* 20 (G. Comstock ed. 1867). According to the founding era’s foremost expert on the law of nations, “[i]t does not . . . belong to any foreign power to take cognisance of the administration of [another] sovereign, to set himself up for a judge of his conduct, and to oblige him to alter it.” 2 E. de Vattel, *The Law of Nations* §55, p. 155 (J. Chitty ed. 1883). The sovereign is “exemp[t] . . . from all [foreign] jurisdiction.” 4 *id.*, § 108, at 486.

The founding generation thus took as given that States could not be haled involuntarily before each other’s courts. See Woolhandler, *Interstate Sovereign Immunity*, 2006 S. Ct. Rev. 249, 254–259. This understanding is perhaps best illustrated by preratification examples. In 1781, a creditor named Simon Nathan tried to recover a debt that Virginia allegedly owed him by attaching some of its property in Philadelphia. James Madison and other Virginia delegates to the Confederation Congress responded by sending a communique to Pennsylvania requesting that its executive branch have the action dismissed. See *Letter from Virginia Delegates to Supreme Executive Council of Pennsylvania* (July 9, 1781), in 3 *The Papers of James Madison* 184–185 (W. Hutchinson & W. Rachal eds. 1963). As Madison framed it, the Commonwealth’s property could not be attached by process issuing from a court of “any other State in the Union.” *Id.*, at 184. To permit otherwise would require Virginia to “abandon its Sovereignty by descending to answer before the Tribunal of another Power.” *Ibid.* Pennsylvania Attorney